

CyberProsAI: AgenticGovLab - Vivek Korikanthimath

EU AI Act Report

Meridian Automated Loan Underwriting System

Project: Meridian Automated Loan Underwriting System

Owner: Vivek Korikanthimath

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Prepared by: Vivek Korikanthimath

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RISK ANALYSIS

Use case risks

Total Risks

6

Very high risk

2

High risk

4

Risk Name	Owner	Severity	Likelihood	Mitigation Status	Risk Level
Lack of meaningful human oversight	Vivek Korikanthimath	Major	Almost Certain	IN PROGRESS	VERY HIGH RISK
Inaccurate automated denials	Vivek Korikanthimath	Moderate	Possible	IN PROGRESS	HIGH RISK
Accountability gaps in third-party AI deployment	Vivek Korikanthimath	Minor	Possible	COMPLETED	HIGH RISK
Weak explainability and incomplete reason codes	Vivek Korikanthimath	Moderate	Possible	IN PROGRESS	HIGH RISK
Proxy bias through credit and business variables	Vivek Korikanthimath	Moderate	Likely	IN PROGRESS	HIGH RISK
Discriminatory lending outcomes	Vivek Korikanthimath	Major	Possible	IN PROGRESS	VERY HIGH RISK

Vendor risks (0)

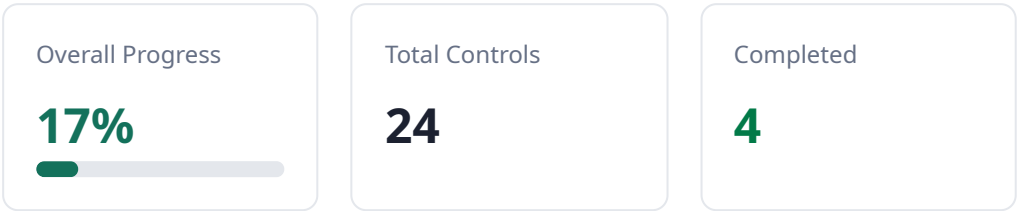
No vendor risks have been identified.

Model risks (0)

No model risks have been identified.

COMPLIANCE & GOVERNANCE

Controls

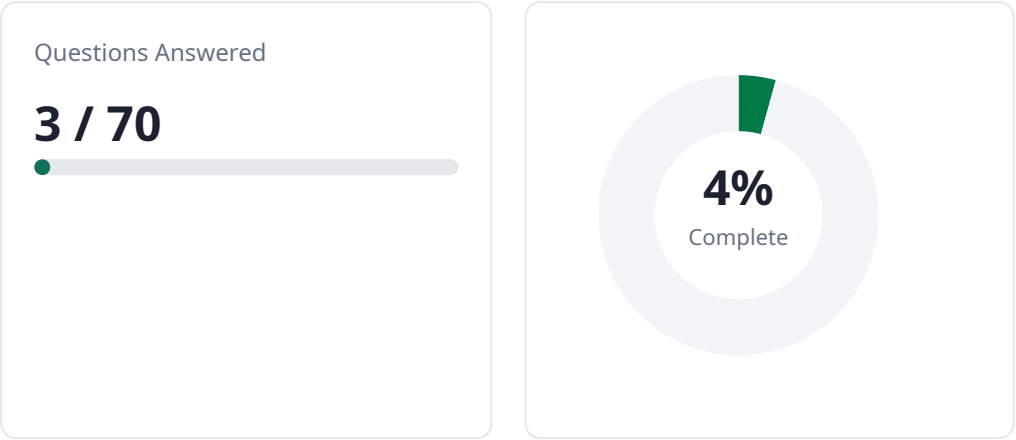


Control ID	Title	Status	Owner
C-6382	AI Literacy and Responsible AI Training	DONE	Vivek Korikanthimath
C-6383	Regulatory Training and Response Procedures	UNKNOWN	-
C-6407	AI Act Compliance Policies and Guidelines	UNKNOWN	-
C-6408	AI Risk Response Planning	UNKNOWN	-
C-6409	Compliance with AI System Instructions	UNKNOWN	-

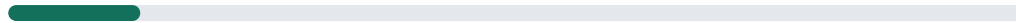
Control ID	Title	Status	Owner
C-6410	System Risk Controls Documentation	DONE	Vivek Korikanthimath
C-6411	Transparency and Explainability Evaluation	UNKNOWN	-
C-6412	Transparency and Explainability Evaluation	UNKNOWN	-
C-6413	Transparency and Explainability Evaluation	UNKNOWN	-
C-6414	Transparency and Explainability Evaluation	UNKNOWN	-
C-6415	AI System Logging Implementation	DONE	Vivek Korikanthimath
C-6416	Fundamental Rights Impact Assessment Process Development	UNKNOWN	-
C-6417	AI System Usage Process Description	UNKNOWN	-
C-6418	Impacted Groups Identification	UNKNOWN	-
C-6419	Data Assessment	UNKNOWN	-
C-6420	Impact Measurement Strategy	UNKNOWN	-
C-6421	Bias and Fairness Evaluation	UNKNOWN	-
C-6422	Assessment Process Documentation	UNKNOWN	-
C-6423	Assessment Process Documentation	UNKNOWN	-
C-6424	Assessment Process Documentation	UNKNOWN	-
C-6425	Assessment Process Documentation	UNKNOWN	-

Control ID	Title	Status	Owner
C-6474	Keep logs automatically generated by the high-risk AI system, to the extent such logs are under your control, for at least six months.	UNKNOWN	-
C-6475	Use information provided by the provider under Article 13 to comply with the obligation to carry out a data protection impact assessment under GDPR Article 35.	UNKNOWN	-
C-6476	Provide affected persons with clear and meaningful explanations of the role of the AI system in the decision-making procedure and the main elements of the decision taken.	DONE	Vivek Korikanthimath

Assessment tracker



Project scope (13% complete)



General

Question	Answer	Status
Describe the AI environment/application used.	Meridian Financial Services is evaluating the Meridian Automated Loan Underwriting System, a high-risk AI-enabled credit decisioning system used for small business loan underwriting. The system uses the CrediSure Credit Decision Engine, a third-party vendor model provided by CrediSure AI, to evaluate loan applications and produce auto-approve, auto-deny, or manual review outcomes. Approximately 94% of applications may be processed automatically, with approximately 6% routed to human review. The system is currently in pre-production governance review and is not approved for full production deployment.	ANSWERED
Is a new form of AI technology used?	-	PENDING
Are personal sensitive data used?	-	PENDING
Project scope documents description	-	PENDING

Technology details

Question	Answer	Status
What type of AI technology are you using? Explain AI and ML technologies used.	-	PENDING
Is there ongoing monitoring of the system to ensure that the system is operating as intended?	-	PENDING
Have you considered unintended outcomes that could occur from the use of this system?	-	PENDING

Question	Answer	Status
Add technology documentation. You can include a data flow diagram, MLops lifecycle diagram. Think of it as an executive summary of the technology you are using.	-	PENDING

Risk management system (14% complete)

Transparency and provision of information to deployers

Question	Answer	Status
Will you make substantial modifications to the high-risk AI system already on the EU market, and if so, what additional training or fine-tuning will be performed on the model after these modifications?	-	PENDING
What business problem does the AI system solve, and what are its capabilities? What other techniques were considered before deciding to use AI to address this problem?	The system is intended to reduce loan decision turnaround time, improve underwriting consistency, and support scalable small business credit review. Its capabilities include credit risk scoring, confidence scoring, automated approval recommendations, automated denial recommendations, manual review flagging, and denial reason code generation. Because the system affects access to credit, Meridian documented key risks including discriminatory lending outcomes, proxy bias through credit and business variables, weak explainability and incomplete reason codes, accountability gaps in third-party AI deployment, inaccurate automated denials, and lack of meaningful human oversight.	ANSWERED
How has your organization assessed the AI application against its ethical values? What ethical considerations were most pertinent, and how were they addressed?	-	PENDING

Responsibilities along the AI value chain

Question	Answer	Status
Specify details of any third-party involvement in the design, development, deployment, and support of the AI system.	-	PENDING
What risks were identified in the data impact assessment? How have these risks been addressed or mitigated?	-	PENDING

Question	Answer	Status
How has the selection or development of the model been assessed with regard to fairness, explainability, and robustness? What specific risks were identified in this assessment?	-	PENDING
What strategies have been implemented to address the risks identified in the model assessment? How effective have these strategies been?	-	PENDING

Data governance (0% complete)

Responsibilities along the AI value chain

Question	Answer	Status
What risks have been identified associated with the chosen deployment and serving strategies? How have these risks been prioritized?	-	PENDING
What measures are in place to detect undesired behavior in our AI solution, including logging and responding to such behavior?	-	PENDING
How can any unforeseen effects be mitigated after deployment of the AI application?	-	PENDING
What is the possible harmful effect of uncertainty and error margins for different groups? How is this being addressed?	-	PENDING
What mechanisms are in place for reporting serious incidents and certain risks to both the relevant authorities and other stakeholders?	-	PENDING
What risks have been identified associated with potentially decommissioning the AI system? How might these risks impact users, the organization, or other stakeholders?	-	PENDING
What data sources are being used to develop the AI application? Describe the input and output data, and explain how this data is documented and managed.	-	PENDING
Does the repository track and manage intellectual property rights and restrictions on the use of its content as required by deposit agreements, contracts, or licenses?	-	PENDING

Fundamental rights impact assessments for high-risk AI systems

Question	Answer	Status
How has your organization ensured the representativeness, relevance, accuracy, traceability, and completeness of the data used in development? What challenges were encountered in this process?	-	PENDING

Question	Answer	Status
Provide details of the confidential and sensitive data processed by the AI system. Does it handle personal data?	-	PENDING
What are the legal bases for processing personal and sensitive data? What measures are in place to ensure that the processing logic remains consistent with the original purpose for which consent was obtained, and that data is deleted after the stipulated period?	-	PENDING
Describe the measures in place to ensure that the AI system does not leak private or sensitive data, especially in the context of adversarial attacks.	-	PENDING
How has legal compliance with respect to data protection (e.g., GDPR) been assessed and ensured? What protected attributes have been identified and how are they handled?	-	PENDING
Provide details of the measures in place to comply with data subject requests, including those related to access, objection, deletion, and other rights.	-	PENDING
Has the organization determined how the privacy of those involved is protected? What specific measures are in place?	-	PENDING
Can the user delete their data from the system? If so, how, and if not, why not?	-	PENDING

Technical documentation (0% complete)

AI model capability assessment

Question	Answer	Status
What is the source of the model being used? If it's a pre-existing model, how was it selected? If it's being developed in-house, what was the development process?	-	PENDING
What is your strategy for validating the model? How does this strategy ensure the model meets its intended purposes while minimizing unintended consequences?	-	PENDING
How is your organization documenting AI performance in the training environment? What metrics are being used, and how do they relate to the agreed objectives?	-	PENDING

Record keeping (0% complete)

AI model capability assessment

Question	Answer	Status
What performance criteria have been established for the AI application? How were these criteria determined, and how do they relate to the application's objectives?	-	PENDING
Describe the policies and procedures in place for retaining automatically generated logs for a minimum of six months to ensure adequate data tracking and auditability.	-	PENDING
How has your organization tested the model's performance on extreme values and protected attributes? What were the results of these tests, and how have they informed further development?	-	PENDING
What patterns of failure have been identified in the model? How were these patterns discovered, and what do they reveal about the model's limitations?	-	PENDING

Transparency & user information (0% complete)

User notification of AI system use

Question	Answer	Status
Have users been adequately trained on the appropriate usage of the AI system, and is documentation readily available to all users?	-	PENDING
In what ways has your organization communicated these AI-related values externally? How effective have these communication efforts been?	-	PENDING
If the AI system performs automated decision-making using personal data, is there meaningful information provided about the logic involved, the significance, and the envisaged consequences for data subjects?	-	PENDING
Is it clear to end users (and other relevant actors) what the consequences are of decision making by the AI?	-	PENDING

Human oversight (20% complete)

Oversight documentation

Question	Answer	Status
How is the supervision of the AI system designed to ensure human oversight wherever the AI solution could take or influence key decisions?	Human oversight is required for borderline scores, low-confidence outputs, missing or inconsistent data, fraud flags, compliance flags, proxy-bias alerts, appealed denials, model drift alerts, high-value loan requests, and decisions with insufficient explanations. Human reviewers must be able to review the AI output, examine supporting application data, challenge the AI recommendation, override the decision when justified, escalate high-risk cases, and document the final decision rationale. Full production deployment should not proceed until human oversight triggers, appeal procedures, monitoring thresholds, and pause criteria are approved.	ANSWERED
How is the effectiveness of human oversight ensured, including having sufficient knowledge to interpret the system's outputs, understand automation bias, and mitigate fundamental risks?	-	PENDING
What is your organization's strategy for conducting periodic reviews of the AI application with regard to ethical values? Who will be involved in these reviews?	-	PENDING

Human intervention mechanisms

Question	Answer	Status
How is human oversight empowered to stop or alter the AI system's operations, ensuring the ability to intervene throughout its lifecycle and mitigate fundamental rights risks?	-	PENDING
To what extent is human deliberation replaced by automated systems in this AI application?	-	PENDING

Accuracy, robustness, cyber security (0% complete)

System validation and reliability documentation

Question	Answer	Status
What is your strategy for testing the model? How does this strategy differ from the validation strategy, and why?	-	PENDING
How will the AI system be served to end-users? What considerations have been made to ensure accessibility, reliability, and security?	-	PENDING

AI system change documentation

Question	Answer	Status
What monitoring systems will be in place to track the AI system's performance in the production environment? How will this data be used to maintain or improve the system?	-	PENDING
Are the details of the cloud provider and secure deployment architecture clearly defined, and what specific measures have been taken to address AI system security risks, including jailbreaks, and adversarial attacks?	-	PENDING
How will your organization detect and address risks associated with changing data quality, potential data drift, and model decay? What thresholds have been set to trigger intervention?	-	PENDING

Conformity assessment (0% complete)

EU database registration

Question	Answer	Status
How has your organization defined and documented the set of values that guide the development and deployment of AI systems? Who is responsible for overseeing these values?	-	PENDING
What governance framework has your organization implemented for AI projects? How does this framework ensure and demonstrate adherence to organizational values in practice?	-	PENDING
Internal regular schedule of self-assessment and certification and, if certified, commits to notifying certifying bodies of operational changes that will change or nullify its certification status	-	PENDING

Post-market monitoring (0% complete)

Post-market monitoring by providers and post-market monitoring plan for high-risk AI systems

Question	Answer	Status
What processes have been established for users of the AI system to raise concerns or suggest improvements? How will this feedback be incorporated into the system's development?	-	PENDING
What is your organization's problem-to-resolution process for issues that arise with the AI system? How are problems prioritized and addressed?	-	PENDING
How will your organization update the AI application on an ongoing basis? What processes are in place to ensure these updates maintain or improve the system's performance and compliance?	-	PENDING

Bias monitoring and mitigation (0% complete)

Bias and fairness evaluation

Question	Answer	Status
What measures have been undertaken to address bias in the AI system's training data, and what guardrails are in place to ensure non-discriminatory responses?	-	PENDING
Are there specific groups that are favored or disadvantaged in the context where the AI application is used? How has this been assessed and addressed?	-	PENDING
Is your user base comprised of individuals or groups from vulnerable populations? If so, what special considerations or protections have been put in place?	-	PENDING

Accountability and governance (0% complete)

System information documentation

Question	Answer	Status
Who in your organization is responsible for ensuring and demonstrating that AI systems adhere to defined organizational values? How is this responsibility carried out?	-	PENDING
Are the inputs and outputs of the AI system logged, and what is the frequency of feedback and review? How long would it take to respond to and address any undesired behavior?	-	PENDING
To what extent does the deployment of AI influence legal certainty and civil liberties? Is this influence clear to end users, stakeholders, and (popular) representatives?	-	PENDING
What strategies has your organization developed to address the risks associated with decommissioning the AI system? How will data residuals, model accessibility, and interfaces to other systems be handled?	-	PENDING

Explainability (0% complete)

Transparency obligations for providers and users of certain AI systems

Question	Answer	Status
What are the primary objectives of your AI application? How do these objectives align with your organization's overall mission and values?	-	PENDING
Provide the high-level business process logic of the AI system. Is it possible to explain the inner workings of the AI system to the end-user by linking specific responses to the source data or documents? Outline any Explainable AI (XAI) model used, with respect to both local and global explainability.	-	PENDING
To what extent can the operation of the application/algorithm be explained to end users and those involved?	-	PENDING

Environmental impact (0% complete)

Environmental impact

Question	Answer	Status
How has your organization assessed the overall environmental impact of this AI application? What factors were considered in this assessment?	-	PENDING
What are the environmental effects of the AI application? How are these effects measured and mitigated?	-	PENDING

ORGANIZATION

AI models (1)

Model Name	Version	Status	Approver
CrediSure Credit Decision Engine	2.3	PENDING	Vivek Korikanthimath

Vendors (1)

Vendor Name	Website	Contact	Risk Status	Assignee
CrediSure AI	https://cyberprosai.com	Vivek Korikanthimath Enterprise AI Risk Liaison	IN REVIEW	Vivek Korikanthimath

Training registry (1)

Training Name	Status
High-Risk AI Loan Underwriting Governance Training	PLANNED

Policy manager (3)

Policy Name	Status	Review Date	Owner
AI Governance Policy	UNDER REVIEW	10/6/2027	-
AI Risk Management Policy	DRAFT	10/6/2027	-
AI Vendor Risk Policy	PUBLISHED	10/6/2027	-

Incident management (0)

No incidents have been reported.

